Transaction Memo

1. Background

Falcon LLC (the Originator) is evaluating a sale of a U.S. margin loan portfolio into Fairway SPV LLC, a Delaware bankruptcy-remote special purpose vehicle. The SPV will acquire the portfolio and apply portfolio cash flows under the transaction waterfall. The Originator will continue to service the loans after closing.

2. Stakeholders

Party	Role	Economic Interest
Originator	Seller of the portfolio and ongoing servicer/manager	Receives sale proceeds, servicing fees, management fees, and retained equity distributions
External investors	Primary equity providers to the SPV	Receive pro rata residual distributions and terminal sale proceeds
SPV	Purchaser and cash-flow vehicle	Owns portfolio assets and applies the cash waterfall
Borrowers	Margin loan customers	Pay interest and repay principal, pledged securities support recoveries

3. Closing Structure

Closing Item	Reference
Portfolio principal at close	See Portfolio_Data_Tape.xlsx, Closing_Inputs sheet
Purchase price	Approved transaction terms
Legal/setup fees	Closing cost schedule
Initial cash reserve	Approved reserve requirement
Initial external investor equity	Capitalization schedule
Originator retained equity	Capitalization schedule

4. Cash Waterfall

Each monthly period should apply the approved waterfall priority: portfolio cash receipts and equity funding are applied first to required fees and expenses, then to reserve maintenance, eligible reinvestment or new loan funding, and finally to residual equity distributions.

5. Terminal Exit

At the end of each scenario's applicable projection period, the remaining portfolio is sold using the applicable scenario-specific terminal sale percentage. Remaining cash reserves are released through the equity waterfall.

6. Modeling Notes

- Use USD millions throughout unless otherwise noted.